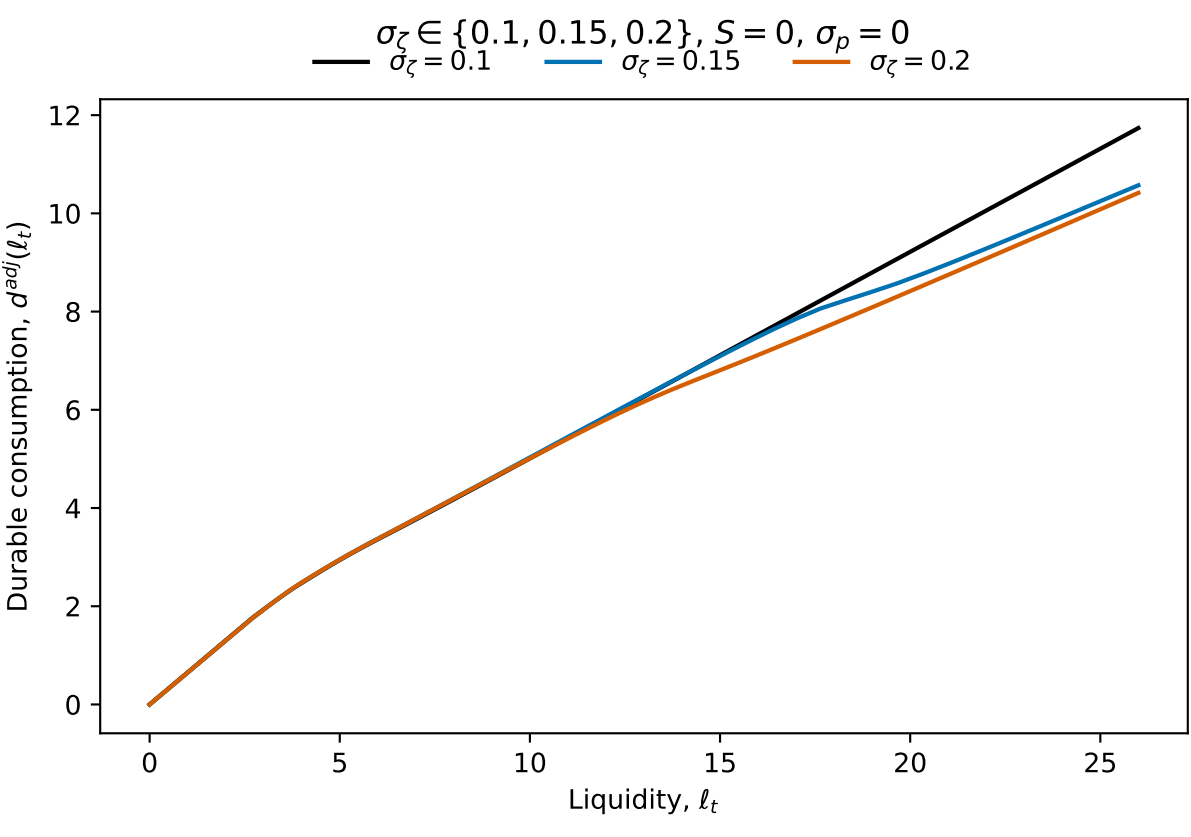
$\sigma_\zeta \in \{0.1, 0.15, 0.2\}$, $S = 0$, $\sigma_p = 0$
$\sigma_\zeta = 0.1$
$\sigma_\zeta = 0.15$
$\sigma_\zeta = 0.2$
Durable consumption, $d^{adj}(\ell_t)$
Liquidity, ℓ_t
0
2
4
6
8
10
12
0
5
10
15
20
25